

SOCIOECONOMIC INDICATORS OF GROWTH AND DEVELOPMENT

The goal of development is to expand the capabilities of people to live the lives they choose to lead (Amartya Sen 1999). Development aims at improving people's lives (livelihood, security, environmental, physical and mental well being) and it is most appropriately defined with their active participation.

The strength of Sen's definition is that it focuses on both the means and ends of development.

Development is different from growth. It has broader and deeper meanings
Growth is necessary but not sufficient condition of development.

Ingredients for development and economic growth (Assets)

- i) Human resources
 - ii) Capital formation
 - iii) Natural resources
 - iv) Technology/Entrepreneurship
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- a) Human resources: are key to development in any country. There is need to develop a mechanism to address lack of health facilities, lack of education, poverty, malnutrition, and disease. Human resource development is important if people are to make use of ICT for development.
 - b) Capital formation: investing in sectors with high economic output, saving capital, investing in infrastructure creates jobs directly and indirectly by attracting investors.
 - c) Natural resources: African countries, which heavily depend on agriculture, have to harness more of their natural resources. It is imperative that they should improve farming techniques and develop better land ownership methods.
 - d) Technology/entrepreneurship: Developing countries have to improve the know-how and know-what. Openness to ideas is important if any economy is to develop. The formation of regional and international blocks encourages technology and entrepreneurship.

The first negative observation to make is the persistence and often the widening of the gap between the areas of the so-called developed North and the developing South.

This geographical terminology is only indicative, since one cannot ignore the fact that the frontiers of wealth and poverty intersect within the societies themselves, whether developed or developing. In fact, Just as social inequalities down to the level of poverty exist in rich countries, so, in parallel fashion, in the less developed countries one often sees manifestations of selfishness and a flaunting of wealth which is as disconcerting, as it is scandalous

Indicators are based on:

A. National income

This can be calculated as follows:

- 1) *Gross Domestic Product (GDP)*

It is a concept of territory.

It is the sum of all income earned from people residing in a country regardless of their nationalities. (Value of all goods and services produced in a country in a year).

It is the sum of all sources of income: wages, profits, rents, interests, and statistical adjustments (exports minus imports).

Weaknesses of GDP

a) What is left out?

- Current GDP only measures market transactions.
- Housework is not included (excluding paid housework). Since it is not market transacted, it is hard to measure the output.
- Non-marketed agricultural output.
- Black market transactions (shadow economy, underground economy) smugglings, illegal drugs, prostitution.

b) It is gender biased as it excludes activities predominantly performed by women (housework, child rearing, food processing etc).

c) It does not take into account income distribution.

d) Impact of economic activity on environment is not measured hence the real social value of a product is not reflected in its cost.

2) *Gross National Product:*

It is a concept of nationality.

It is the sum of all income from people with the same nationality regardless of where they are residing. (Value of all goods and services produced in a country in a year plus income earned by its citizens abroad, minus income earned by foreigners in the country).

3) *As the sum of all expenditure*

The total value of all goods is equal to the total amount of money spent on goods.

Other socio economic indicators

i) People living below poverty lines.

ii) Life expectancy (infants and children below the age of five)

iii) Literacy levels (primary, secondary, tertiary or within given age brackets)

iv) Fertility rates

v) Mortality rates.

vi) Enrolment rates in different levels of education.

vii) People who have access to water and sanitation facilities.

viii) Children who are underweight.

ix) Population lacking functional literary skills.

x) Long-term unemployment.

xi) Private expenditure on health and education.

xii) Inequalities in maternal and child health.

xiii) Technology creation and diffusion e.g. number of telephone lines, mobile lines, Internet users, patents granted.

COMPOSITE INDICES

B. Human development Index (HDI)

The index as it is currently measured is very basic, consisting of the following dimensions:

- A long and healthy life, measured by life expectancy at birth;
- Knowledge, measured by the adult literacy rate and the combined gross enrolment ratio at primary, secondary and tertiary levels;
- A decent standard of living, measured by GDP per capita in purchasing power parity (PPP)

Weaknesses of HDI

- a) The index is not a comprehensive measure of human development. It only focuses on three dimensions of capabilities.
Other aspects of human development that could be captured with available data include the degree of people's self-respect and political freedom, and environmental concerns, among others.
- b) The HDI is not designed to assess progress in human development over a short-term period because two of its component indicators—adult literacy and life expectancy at birth—are not responsive to short-term policy changes.
- c) Like any average country measure, the HDI does not account for variations in human development within the country. Countries with the same HDI may be very different in how human development is distributed, either from region to region, or from social group to social group.

C. Gender development index (GDI)

The gender-related development index is a composite indicator that measures the average achievement of a population in the same dimensions as the HDI while adjusting for gender inequalities in the level of achievement in the three basic aspects of human development. It uses the same variables as the HDI, disaggregated by gender.

D. Gender empowerment index

The GEM gender empowerment measure is a composite indicator that captures gender inequality in three key areas:

- **Political participation** and decision-making, as measured by women's and men's percentage shares of parliamentary seats;
- **Economic participation** and decision-making power, as measured by two indicators—women's and men's percentage shares of positions as legislators, senior officials and managers and women's and men's percentage shares of professional and technical positions;
- **Power over economic resources**, as measured by women's and men's estimated earned income (PPP US\$).

Poverty Indices

E. The Human Poverty Index

The HPI is another measure of poverty. It was introduced in the 1997 global HDR as one of the human development indices. The aim was to create a composite index bringing together the different dimensions of deprivation in the quality of life, which would indicate the extent of poverty. The HPI is premised on the understanding that if human development is about enlarging choices, then poverty means the denial of opportunities and choices most basic to human development.

The most fundamental difference between the HDI and the HPI is that the former measures progress in a country or defined geographical location or for a population group, while the latter focuses on the most deprived people in a country or defined geographical location. The index incorporates four dimensions of human life:

- longevity,
- knowledge,
- economic condition and
- social inclusion

it measures deprivation in the three dimensions of human development: a long and healthy life, knowledge and a decent standard of living.

The HPI draws on both the income and basic needs perspectives of poverty, but focuses more on the capability perspective. The emphasis is on the lack of opportunities due to social constraints as well as personal circumstances.

Two Approaches: HPI-1 and HPI-2

Human poverty is specific to locations, with the nature of deprivation varying with social and economic conditions. The choice of indicators for the HPI has to be sensitive to the contexts of specific countries. For example, an index concentrating on illiteracy and premature death may not capture the link between social exclusion and poverty in developed countries such as Norway and Sweden, where literacy is almost universal and life expectancy at birth is high.

The two formulations of the HPI:- HPI-1 and HPI-2—reflect some of these considerations, with the former calculated for developing countries and the latter for developed countries.

Indicators for HPI-1 (for developing countries)

The HPI-1 uses deprivation in the following three dimensions

- A long and healthy life: - vulnerability to death at a relatively early age as measured by the probability at birth of not surviving to the age of 40;
- Knowledge: - exclusion from the world of reading and communication as measured by the adult illiteracy rate
- A decent standard of living:- lack of access to overall economic provisioning as measured by the percentage of the population without sustainable access to an improved water source and the percentage of children underweight for age.

Indicators for HPI-2 (for developed countries)

These include:

- A long and healthy life:- vulnerability to death at a relatively early age as measured by the probability at birth of not surviving to the age of 60;
- Knowledge—exclusion from the world of reading and communication as measured by the percentage of adults (16-65) lacking functional literacy skills;

- A decent standard of living:- measured by the percentage of the population living below the income poverty line
- Social exclusion:- as measured by the rate of long-term unemployment (12 months or more).

Risk and Vulnerability Analysis

Shocks or crises can have significant implications for human development, especially for households with limited asset bases. Other adverse consequences stem from the failure of markets, environmental changes and the lack of public risk management strategies. HDRs should highlight these where appropriate.

Perception surveys can generate information on how households cope with risks, their responses to shocks, and measures undertaken to recover. Though some coping strategies adopted by households and individuals might address immediate needs, they can also increase vulnerability. Over the longer term; HDR analysis should bring these issues out. For example, vulnerable households often resort to coping strategies that deplete or slow their accumulation of assets and human capabilities, such as taking children out of school, food rationing with serious nutritional and health implications, over-harvesting of natural resources or selling productive assets to meet immediate needs.

Although such behaviour can lessen the immediate impacts of risk, it can also result in inefficiencies that subsequently lower mean incomes (and possibly increase the variability of incomes), thereby perpetuating a vicious cycle of poverty. HDRs can pinpoint coping strategies with negative effects and advocate for early warning systems, as well as effective and efficient risk management strategies. Particular attention should be paid to positive indigenous coping strategies that need strengthening.

Better-off households with strong asset bases may suffer transient poverty, but manage to recover quickly from shocks. Asset poor households may suffer further impoverishment.